Lucina Land Development Ltd vs Union Of India & Ors on 27 April, 2022

Author: C. Hari Shankar

Bench: C. Hari Shankar

$~119 (Appellate side)
* IN THE HIGH COURT OF DELHI AT NEW DELHI

+ CM(M) 664/2018 CM Appl. 23358/2018 and CM Appl. 5843/2019

LUCINA LAND DEVELOPMENT LTD ..... Petitioner
Through Ms. Kanika Agnihotri, Mr.Vaibhav Agnihotri, Ms. Yashodhara Gupta, Mr. Madhav Bhatia and Mr. Rohan Anand, Advs.

versus

UNION OF INDIA & ORS ..... Respondents
Through Mr. Sushil Kumar Pandey, Senior Panel Counsel with Mr. Rahul Mourya, Adv. for Respondent 1
Mr. Piyush Singh, Mr. Akshay Srivastava and Ms. Aditi Sinha, Advs. for remaining respondents

CORAM:
HON'BLE MR. JUSTICE C. HARI SHANKAR

% J U D G M E N T (ORAL)
27.04.2022

1. These proceedings emanate from Consumer Case No. 1204/2017, which was a complaint filed before the learned Nati Consumer Disputes Redressal Commission (NCDRC) against the petitioner Lucina Land Development Ltd. and others by 51 allot flats in a project of the petitioners, titled –Indiabulls Gree (–the project , hereinafter). The complaint, preferred under S

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15:58:14

21(a)(i)1 read with Section 12(1)(c)2 and 22(1)3 of the Consu
Protection Act, 1986 (—the 1986 Act) alleged that the petitio
guilty of deficiency in service and were involved in unfair tr
practices within the meaning of Section 2(1)(g)4 and 2(1)(r) o
1986 Act.

2. The respondents, who were allottees of units in the
alleged, in the complaint filed by them before the learned NCD
that they were —consumers of the petitioners within the meani
Section 2(1)(d)(ii)5 of the 1986 Act, as the units had been bo
the respondents for residence. Paras 4 and 11 to 19 of the com
which set out the grievances of the respondents, may be reprod
thus:

1

21. Jurisdiction of the National Commission. - Subject to
National Commission shall have jurisdiction -

(a) to entertain -

(i) complaints where the value of t
claimed exceeds rupees one crore;

2

12. Manner in which complaint shall be made. -

(1) A complaint in relation to any goods sold
any service provided or agreed to be provided may be

*****

(c) one or more consumers, where th
interest, with the permission of the Distr
consumers so interested;

3

22. Power and procedure applicable to National Commissio

(1) The provisions of sections 12, 13 and 14 a
complaints by the District Forum shall, with such mo
the Commission, be applicable to the disposal of dis

4

(g) —deficiency means any fault, imperfection, shortcom
manner of performance which is required to be maintained by or
has been undertaken to be performed by a person in pursuance o
service

5

(d) "consumer" means any person who -

(ii) hires or avails of any services for a cons
partly paid and partly promised, or under any system
beneficiary of such services other than the person w
consideration paid or promised, or partly paid and p
payment, when such services are availed of with the
not include a person who avails of such services for
Explanation. - For the purposes of this clause, —commercial pu
goods bought and used by him and services availed by him exclu
livelihood by means of self-employment;

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—4. That, this complaint is preferred on behalf of the Complainants and for the benefit of all the allottees, wh consumers and are having the same interest as a Class Act Petition. The Complainants submit that the facts of the c each of the Complainants and all the allottees are same a the issues involved, disputes & controversies are common nature having a common interest and have suffered identic deficiency of service and unfair trade practice, the term conditions of allotment are almost same and rely on ident evidences and therefore, come under the definition of Complainant as per section 2(1)(b)(iv) of the Consumer Protection Act, 1986. The Complainants, therefore, seek l of this Hon'ble Commission to file a common complaint under section 12(i)(c) of the Consumer Protection Act, 19 (as amended till date). A separate application in this re also being filed on behalf of the Complainants for grant permission by this Hon'ble Commission to file one complai for the benefit of all consumers so interested.

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11. That it has come to the knowledge of the complain that at the time when the initial booking amount was rece by the Opposite Parties in the month of August / Septembe 2009 from some of the complainants, the Opposite Parties were not in possession of all the approvals for going ahe with the construction of the Project proposed to be constructed by them, then how could they have accepted money for selling the flats from the complainants i.e., u trade practices on the part of the Opposite Parties under Section 2(1)(r) of the Consumer Protection Act. 1986.

12. It is thus an admitted position that the Opposite were involved in unfair trade practice and deceiving tact against the general consumers and particularly the presen group of complainants as well as other allottees as the s project was launched and payments towards booking of the particular flats were being received by the opposite Part much before they obtained necessary approvals from the competent authorities, for construction of the said proje including the various amenities promised and assured to t flat purchasers, on the basis of which the Complainants a all other were attracted to purchase the flats In the sai project. Accordingly, the intention and motive of the Opp

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15:58:14

Parties was always to deceive the allottees of the particularly the complainants herein writ large on record since inception. At the time all the governm clearances from various departments for the project in place. Accordingly the Opposite Parties had enga unfair trade practice with the complainants and all allottees and are guilty of violations of the provi Section 3(2) of MOFA, 19636.

13. The Complainants are attaching herewith a St showing the details of each Complainant Tower/Build Number, Flat No., Area of the flat, total cost of t the total consideration amount paid upto-date by ea every complainant to the Opposite Parties. Hereto a and marked as ANNEXURE "C-4" is the said Statement.

14. The Complainants are also attaching herewith of the Ledgers account issued by the Opposite Parti showing the details of the payments made by the Complainants. In general the Complainants have paid 95% of the cost of the flats booked by them and all the Opposite Parties. Hereto annexed and marked as ANNEXURE "C-5" (colly.) is a copy each of the Ledge accounts issued by the Opposite Parties showing the the payments made by the Complainants to the Opposi "Parties.

15. The Complainants came to know about the Proj since the year 2009 or later, through various means banners displayed by the Opposite Parties through g hoardings, advertisements in News Papers and the Br distributed by the Opposite Party no.1 inviting the large for booking of the fiats. The Sales Staff mad sales pitches & representations on behalf of M/s. L Development Limited for the project called INDIABUL GREENS PANVEL showing beautiful Master Plans & layouts of fiats and amenities like a school, hospi house, shopping mall, on the basis of which they ev took the important decision to make a choice to buy preferred flat. The Opposite Parties coaxed & lured Complainants to pay advance booking amount, offered construction linked payment schedules, delivery in

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15:58:14

years and to book fiats in the project, based on those promises. The reputation of the builder and property

appreciation from the proposed interational airport were touted as additional incentives for the Complainants to b the flats. There are also cases where the Complainants ha paid more than 90% as per allotment letters/Agreements fo sale, including 18% interest/penalty in the case of delay payment of instalments. The Complainants submit that at t time of booking of the flats Opposite Party no.1 had prom to give possession within 2/3 years of booking. As on dat filing the complaint in 2017, the Complainants have no cl about the possession date and on enquiring Opposite Party no.1 has consistently been giving a further date. On foll up for possession on the new date, yet again again a new delivery date is given. Presently the Opposite Parties ar talking about giving possession in June, 2017, subject to various clearances, in other words there is total uncerta even now.

16. The following is a summary of the grievances of the complainants:

a) Booking the Flat & Agreement related problems

- False representation on status of approval o project from Government & Statutory bodies

- Presenting a Master plan with 15 storied building, gardens, school, hospital, club house & shopping mall, which was unilaterally changed next year, to 37 floors with a revised layout

- The super built/ salable area of the flats w increased by upto 25% depending on building and siz of flat. There was no corresponding increase in the carpet area. Protesting buyers were told by sales executives that this is due to change of layout, additional facilities amenities being provided.

- Buyers were re-alloted flats in the new mas plan and In many cases forced to re-book on higher floors, with floor rise/ PLC charges payable. When complainants objected, they either didn't respond o offered refund with 15% cancellation charges on tot

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cost of the flat. Many were also told that they co sell their flats later, on super build area, so why protest.

- Later the Opposite Parties asked buyers to

one-sided Agreements, did not allow any changes to
highly objectionable clauses and threatened that we
take it as it is or cancel with 15% cancellation ch
of total cost of the flat. This Agreement also had
revised delivery possession date of 5 years 9 month

• The Opposite Parties have subsumed car parking charges within the per unit rate of the fla which is illegal. There are also specific promises by the Sales persons & Customer Service Executives while selling the flat, but disowned later, when complainants went to sign the Agreement

b) Payment & Financing related problems

1. The Opposite Parties were quick to levy inte charges & penalties on the slightest delay in payme despite not communicating payment demands on time.

2. In the specific case of Mr. Sangram Choudhu (Complainant # 36), he was allotted Flat N-2204 in December 2010. He received a letter dated 13.12.201 that the construction has started and demanded payment of 1st instalment. Having booked under ADF, a tripartite agreement was signed with Indiabulls finance with the flat number N2204. Subsequently, t unilaterally changed the entire master plan & layou with no communication to the buyers. They gave him limited options to choose a new flat and threatened forfeit his advance, if he cancelled the booking. H penalised with interest despite the delay being on account of the Opposite Parties.

3. Prior to every demand for payment, they were providing Architect certificates to prove status of construction, originally from Mr. Hafeez Contractor (an architect reputed for professionalism and accuracy). With constant delays at their own end, t shifted to issuing certificates from an internal ar

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15:58:14

and started raising demands. When the Complainants protested, they ignored and coerced to accept the n arrangement.

4. All liabilities of the interest on loans, lo rebate on loans and financing charges (particularly related to their sister company) are to the Complai account despite delays in communicating, constructi

schedules not being met and pending approvals for possession being from Opposite Parties end.

c) Delay in Delivery of Completed flats

i) For flats booked over the last 7 years, for complainants there is no clarity from the Opposite Parties as to when the possession of the flats will given. The Opposite Parties' customer service executives keep on giving new dates for every query on delivery date. This has become an endless & meaningless exercise. Their regular plea, when they respond, is of clearances not being availably and construction delays. The complainants have no contr over this matter and have to face the consequences shabby, unreliable and arrogant service from the OP executives.

ii) The OP had promised various facilities & amenities through advertisements, hoardi brochures and direct selling. They promised world class construction and quality of life. The current project is a highly diluted version of these advertisements, with little or no resemblance to ea promises made. Site visits made by many complainant reveal severe compromises on all facilities & amenities, congested layout, poor quality of construction and fittings. The complainants are of unanimous view that, if they knew of these deficien and unlivable layout, they would not have booked fl in Indiabulls Greens. Panvel and would have exercis alternative options. However, the Opposite Parties preventing the Complainants from cancelling the booking by means of unfair trade practices of demanding heavy cancellation charges equal to 15% o the total cost of the flat.

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15:58:14

iii) The experience with OP's executives and t failure to deliver on their various promises is ca severe mental trauma, anxiety and harassment as so complainants were depending on completion and peaceful possession of flats in this project, for occupation post retirement or other-wise. The opportunity cost of the delay, unkept promises and fight for the rights of the complainants is Incalc

17. Some of the Complainants took permission to visit flat and were shocked to see the quality of the work whic

much inferior to what had been promised. Most of the amenities are missing. No club house, no school. No Hospi No Mall. Nothing of what they had told at the time of booking. So the innocent people are cheated by the Opposi Party No.1. The hard earned money spent for booking of th flat is blocked with Opposite Party No.1 and the Complainants are trapped as they are not allowed to exit the project by way of demanding 15% of the total cost of flat as cancellation charges.

18. The Complainants state that in view of enormous de in completion of the project and uncertainty in the date handing over possession of the fiats some' of the complai approached the Opposite Party no.1 for cancellation of th booking. However, the Opposite Parties demanded cancellation charges equal to 15% of the total cost of th which is a significant disincentive to exercise this opti thereby preventing the Complainants from exiting from the said project. It is therefore, evident that the Opposite have deceived the Complainants by not honouring their commitments and not carrying out the construction as promised by them. The Opposite Parties have collected cro of rupees from innocent consumers, by selling only dreams owning a flat. It is a clear case of deficiency in servic unfair trade practices adopted by the Opposite Parties.

19. The Complainants have also got the Building and t flats inspected by Mr.Hitendra Mehta, Architect and Govt. Approved valuer who after obtaining permission from the Opposite Parties visited the building and inspected the construction along with the approved plans and had submit his detailed report with his Affidavit. It has been obser

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15:58:14

his report apart from inferior quality of construction deficiency in carpet area of the flats as compared to th sold by the OPs to the Complainants. He has also given t present prevailing market value for calculation of compensation for shortfall in carpet area of the flat an providing various amenities promised but not provided at at the site. Hereto annexed and marked as

3. These alleged indiscretions of the petitioners, accordin 20 of the complaint, amounted to deficiency in service and unf practices within the meaning of Sections 2, 3 and 4 of the MOF were actionable under the 1986 Act. Para 20 of the complaint, therefore, exhorted the learned NCDRC to exercise the powers v in it by the 1986 Act and to direct the petitioners to complet construction and hand over the possession of their respective

the requisite occupancy and building completion certificates a
with all amenities, or, in the alternative, to pay compensatio
respondents equal to the market value of the flats in the area
question along with interest and costs.

4. Para 22 of the complaint sought to justify the filing of
complaint as a class action, thus:

> —22. That the Opposite Parties Builders have also not carried out the construction of the Buildings as promise the Brochure and or the Allotment Letters. The cause of action triggered due to enormous delay in handing over t physical possession of the allotted flats to the complai with complete development as per the agreed terms and conditions of the allotment in a habitable condition wit promised/assured amenities already mentioned which is seriously lacking till date. The immediate cause of acti institution of the instant complaint by the complainants class action petition as they are having common interest

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15:58:14

> grievances against the Opposite Parties. The Complainant also involved together as a class having common interest, aggrieved against the Opposite Parties under various head stated above. Therefore, the cause of action is continuin the complaint as filed is not barred by limitation

5. Para 27 of the complaint, therefore, prayed thus:

> —27. The Complainants, therefore, pray that in view of th foregoing paragraphs It would be just and proper and furt in the interest of justice that this Hon'ble Commission b pleased to grant the following reliefs:
>
> a. To hold and declare the Opposite Parties joi and severally to be guilty of deficiency in service unfair trade practice as per the provisions of the Consumer Protection Act, 1986 (as amended).
>
> b. To grant permission under section 12(1)(c) the Consumer Protection Act, 1986 to file a common complaint on behalf of and for the benefit of all t allottees / purchasers /buyers having, similar grie against the Opposite Parties and in the Interest of justice;

c. To order issue of Public Notice by advertisement in the News Papers viz. "THE FREE PRESS JOURNAL" English Daily a "NAVASHAKTI" Marathi daily at the cost of the Complainants under Order I, Rule 8 (2) of the Code Civil Procedure, 1908 for which a separate applicat has been filed.

d. To direct the Opposite parties to complete construction with all promised amenities and to han over vacant and peaceful possession of their respec flats with occupancy and building completion certificates issued by the competent authority to t complainants as well as all other allottees / purch buyers within the stipulated time as may be decided this Hon'ble Commission failing which to pay penalt of Rs.5,000/- per day to each flat purchaser after

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15:58:14

expiry of the said period till handing over posses the flats.

Or Alternatively

In the event the Opposite Parties are not in a posi hand over possession of their allotted flats to the Complainants as well as all other allottees / purch / buyers, they may be directed to give alternate fl the similar standards & carpet area stated in the agreement of each complainants in the same Panvel locality within the stipulated time of 2 months fro date of the order

Or alternatively

To direct the Opposite Parties to pay to the Complainants the proportionate current prevailing market value by way of compensation for the inordinate delay and to refund the amount of Rs.22.84,15,731/- (Rupees Twenty Two Crores, Eighty Four Lakhs, Fifteen Thousand Seven Hundred and Thirty one) paid by the Complainants/flat purchaser shown in the Statement annexed and marked as Annexure "C-4" along with interest at 18% per annum from the promised date of possession i.e., 01/10/20 till realization with compensation and costs.

e. To direct the Opposite Parties jointly and severally to pay damages and compensation to the

complainants amounting to Rs.8,31,88,466/- (Rupees Eight Crores, Thirty One Lakhs, Eighty Eight Thousand Four Hundred and Sixty Six) at the rate of Rs.15,99,778.20 (Rupees Fifteen Lakhs, Ninety Nine Thousand Seven Hundred Seventy Eight and paise twenty) to each of the complainants towards non provision of Club House, Sports, Gardens & Landscaping, Commercial facilities, education facilities, healthcare. Management & security facil as per valuation given by the Architect in his repo (Annexure "C-6").

f. To direct the Opposite Parties to pay Rs. 15,60,000/- (Rupees Fifteen Lakhs Sixty Thousand) a

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the rate of Rs.30,000/- (Rupees Thirty Thou each of the complainant towards compensation mental agony and incient harassment suffered Complainants due to inordinate delay in hand possession of the flat.

g. To direct the opposite parties to pay Rs.13,00,000/- (Rupees Thirteen Lakhs) at t Rs.25,000/- (Rupees Twenty Five Thousand) to complainant towards cost of litigations & In expenses such as professional fees of Advoca Architect travelling, Xeroxing, filing, etc.

h. To grant such other and further relief Hon'ble Commission may deem fit and proper i nature and Circumstances of the above number complaint.

6. The complaint was accompanied by an application unde Section 2(1)(b)(iv)7 read with Section 12(1)(c) of the 1986 Ac permission to file a consolidated consumer complaint.

7. Para 1 of the application stated that the complaint filed by the respondents on behalf of all allottees of the pro were consumers having the same interest as a class action, as dispute/controversy involved was common and the deficiency in service and unfair trade practices allegedly imputed to the pe were also common vis-à-vis all the allottees of flats in the p Para 7 of the complaint reads thus:

—7. That the Complainants have filed the aforesaid consumer complaint as a class action petition agains

7

(b) "complainant" means -

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(iv) one or more consumers, where there are num
interest"

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15:58:14

Opposite Parties being aggrieved with the illegal activ
the Opposite Parties by promising to give possession of
flats within 2 years and collecting huge amounts before
obtaining , requisite approvals for construction of the
promised flats. The Complainants as a class is also aggr
with the enormous delay in construction of the project a
deliver possession of the allotted flats in a habitable
by the Opposite Parties. Besides the Complainants as a c
have also suffered huge monetary loss in the form of inc
tax benefit, due to staying in rented houses, paying EMI
Bank on loan, etc.

It was also pointed out, in the application, that the claim of
respondents themselves aggregated to over 1 crore, as a resu
which the jurisdiction, to entertain the complaint, vested in
NCDRC. In view thereof, the application prayed for gran
permission to the respondents under Section 12(1)(c) of the 19
to file a common complaint on behalf
purchasers/buyers/complainants having similar grievances and,
said purpose, to issue public notice by way of advertisement i
newspapers.

8. The petitioners filed a reply to the aforesaid applicati
respondents under Section 12(1)(c) of the 1986 Act.
traversing the allegations levelled by the respondents in the
on merits, it was alleged that several of the complainants, wh
residing elsewhere in the country as well as abroad, had faile
disclose as to how the premises booked by them were not intend
be put to commercial use, in which case they were not –consume
within the meaning of Section 2(1)(d) of the 1986 Act.
submitted that the construction of the flats was complete and
petitioners were willing to hand over possession subject to is

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15:58:14

occupation certificate. It was further submitted, in paras 25
the reply, thus:

> —25. It is most respectfully submitted that a complaint
> Section 12(l)(c) of the Consumer Protection Act read wit
> Order I Rule 8 of the Code of Civil Procedure can be fil
> where there are numerous consumers having the "same
> interest" i.e. a common grievance against the same perso
> the complaint is filed on behalf of or for the benefit o
> numerous consumers, and seeking same relief for all of t
> It is submitted that the all the buyers of the flat cann
> treated at par with each other as such most of the
> Complainants are investors whereas some of them may be
> genuine consumers. Thus in absence of the element of "sa
> interest" the present Complaint in the representative ca
> deserves to be dismissed. The Complainants thus ought to
> approach a civil court to address its grievance. On this
> alone the present application under 12(l)(c) deserves to
> dismissed.
>
> 26. Admittedly, the Complainants herein have sought
> file the present Complaint for and on behalf of all cust
> of the Answering Opposite Party/Respondent who have made
> a booking for a flat in Indiabulls Greens, Village Kon,
> As admitted by the Complainants in the Complaint the fac
> and circumstances pertaining to each booking differs fro
> case to case as different customers have purchased diffe
> flats from the Answering Opposite Party/Respondent at
> different points of time ranging over the past decade, a
> different rates and have made pro rata payments to diffe
> extents with or without defaults therein. It is, therefo
> submitted that by no stretch of imagination it can be sa
> the numerous customers of the Answering Opposite
> Party/Respondent stand on a similar footing with respect
> each other. It is therefore submitted that the present
> Complaint is not maintainable as the cause of action has
> arisen till date. It is further submitted that the Compl
> have approached this Hon'ble Commission with malafide
> intentions of making unlawful gains and therefore no
> permission shall be given to file the present Complaint
> short ground alone and the present application ought to
> dismissed.

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CM(M) 664/2018

9. By order dated 16th May, 2018, the learned NCDRC pro
to allow the respondents' application under Section 12(1)(c) o
1986 Act and, consequently, to direct publication of public no
regarding the complaint in the media, under Order I Rule 8 of
Code of Civil Procedure, 1908 (CPC). The reasoning of the lear
NCDRC is contained in the following passages from the impugned
order:

> —5. I have heard the submissions made on behalf of

opposite parties. Section 12(1)(c) of the Act is repr
under:

> —12. Manner in which complaint shall be made.
>
> (1) A complaint in relation to any go
> sold or delivered or agreed to be sold o
> delivered or any service provided or agr
> be provided may be filed with a District
> by -
>
> (c) one or more consumers, where ther
> numerous consumers having the same inter
> with the permission of the District Foru
> behalf of, or for the benefit of, all co
> interested"

6. On bare perusal of the above, it is clear that more consumers with the permission of Consumer Fora c pursue the complaint on their behalf as also on behal numerous consumers having the same interest but not a as complainants provided the complaint is filed for t of the complainants as also for the benefit of consum having same interest in the outcome of the complaint arrayed as complainants.

7. In order to find out whether or not the instan complaint fits into the requirements of Section 12(1) Act, I have carefully perused the complaint, in parti prayer clause. On reading of the complaint as also th

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15:58:14

clause, it is clear that instant complaint has bee respect of a booking of development project involvi numerous consumers and the complainants have filed instant complaint against the opposite parties as a action on their behalf and also on behalf of and fo of all other consumers similarly placed and having interest in the outcome of the complaint. Merely be some of the complainants are NRIs, will not make th persons of a different class. If the claims of some existing complainants have already been satisfied, not get any relief subject to the evidence. Thus, i requirements of Section 12(1)(c) of the Act are ful case and accordingly, I allow the application under 12(1)(c) of the Act and permit the complainants to with the complaint as a class action.

(Emphasis

10. Aggrieved by the aforesaid order dated 16 th May, 2 petitioners have approached this Court under Article 227 of th Constitution of India by means of the present petition.

11. The respondent, during the course of these proceedi challenged the maintainability of the present petition under A 227 of the Constitution of India, citing, for the purpose, the of the Supreme Court in Cicily Kallarackal v. Vehicle Factory8 especially emphasising para 9 of the said decision, which read

> —9. While declining to interfere in the present Spe Petition preferred against the order passed by the in exercise of its extraordinary jurisdiction Under of the Constitution of India, we hereby make it cle order of the Commission are incapable of being ques under the writ jurisdiction of the High Court, as a appeal in terms of Section 27A(1)(c) lies to this C Therefore, we have no hesitation in issuing a direc caution that it will not be proper exercise of juri High Courts to entertain writ petitions against suc

8 (2012) 8 SCC 524

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15:58:14

the Commission.

12. As against this, learned Counsel for the petitioners, re the following passages from the report in State of Karnataka v Vishwabharathi House Building Coop. Society9, sought to conten that the petition was maintainable:

> —51. It may be true that there does not exist any provis for transfer of case from one forum to the other or ther not exist any provision to grant injunction. Absence of provisions in our opinion would not render the statute u vires the Constitution or unworkable.
>
> 52. The very fact that in a given case a party under Act may approach upto this Court and/or may otherwise ta recourse to the remedy of judicial review, the interests parties must be held to have been sufficiently safeguard
>
> 53. The provisions relating to power to approach app court by a party aggrieved by a decision of the forums/S Commissions as also the power of High Court and this Cou under Article 226/227 of the Constitution of India and A 32 of this Court apart from Section 23 of the Act provid

> adequate safeguards. Furthermore, primarily the jurisdic
> of the forum/ commissions is to grant damages. In the ev
> complainant feels that he will have a better and effecti
> remedy in a civil court as he may have to seek for an or
> injunction, he indisputably may file a suit in an approp
> civil court or may take recourse to some other remedies
> provided for in other statutes.
>
> (Emphasis sup

13. Substantive arguments were advanced by the learned Coun for both parties on the maintainability of the present petitio Article 227 of the Constitution of India as well as on the mer impugned order dated 16th May, 2018 passed by the learned NCDR

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15:58:14

Submissions and analysis

Re. Maintainability

14. Mr. Piyush Singh, learned Counsel for the allottees, that the present petition was not maintainable under Article 2 Constitution of India, in view of the availability of an alter by way of an appeal to the Supreme Court under Section 2310 of 1986 Act, which provides for a right of appeal against every o passed by the learned NCDRC under Section 21(a)(i) of the 1986

15. This position, contends Mr. Piyush Singh, also stand underscored in para 9 of the judgment in Cicily Kallarackal8 reproduced supra.

16. Ms. Agnihotri, learned Counsel for the petitioners, per contra, that Cicily Kallaracka8 was rendered in the contex right conferred by Article 226 of the Constitution of India, w present petition has been filed under Article 227. Para 53 of in Vishwabharathi House Building Coop. Society9, she submits, clearly indicates that the right to file a petition under Arti Constitution of India is independently available, apart from t conferred by Section 23 of the 1986 Act. This position, she su stands expressly recognised in the opening sentence of para 53

9
(2003) 2 SCC 412

10

23. Appeal. - Any person, aggrieved by an order made by the
powers conferred by sub-clause (i) of clause (a) of section 21
Supreme Court within a period of thirty days from the date of
Provided that the Supreme Court may entertain an a
days if it is satisfied that there was sufficient cause for no

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15:58:14

report in Vishwabharathi House Building Coop. Society9, which
reads thus:

> —53. The provisions relating to power to approach app
> court by a party aggrieved by a decision of the forum
> Commissions as also the power of High Court and this
> under Article 226/227 of the Constitution of India an
> 32 of this Court apart from Section 23 of the Act pro
> adequate safeguards.

As such, submits Ms. Agnihotri, the right available under Sect
of the 1986 Act cannot derogate from the right to invoke the
jurisdiction of this Court under Article 227 of the Constituti
India.

17. Having heard learned Counsel and perused the aforesai
decision, it is clear that Cicily Kallarackal8 addressed the i
availability of the right to file a writ petition under Articl
Constitution of India and was not rendered under the context o
Article 227 of the Constitution of India. No doubt, t
approach the writ court under Articles 226 and 227 of the Cons
of India are, in a way of speaking, interlinked and cognate. T
however, there is a subtle difference between the two provisio
inasmuch as the jurisdiction exercised by a court under Articl
the Constitution of India is in the nature of judicial review
of, inter alia, the high prerogative writs of habeas corpus, c
mandamus, prohibition and quo warranto, envisaged by the said
Article, whereas the jurisdiction exercised under Article 227

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15:58:14

Constitution of India is supervisory in nature.

18. There is a fundamental jurisprudential difference betw judicial review jurisdiction and supervisory jurisdiction. The the power exercised by a court in each case is also essentiall different. The exercise of powers under Article 227, in a sens constricted than the exercise of powers under Article 226, ina the scope of examination of the merits of the decision under c is, under Article 226, more expansive than under Article 227. exercising jurisdiction under Article 227, what the court is e concerned with is ensuring that the courts and tribunals subje supervisory jurisdiction exercise their powers appropriately.

19. The Article 227 court does not sit in appeal over the of the court or tribunal below. It is not expected to scrutini merits of the said decision with a view to correct the said de merits. If, however, the decision is one which involves errone exercise of jurisdiction or assumption of power where no power then the court, under Article 227, would be justified in inter Equally, if the decision demonstrates discharge, of the Court Tribunal below, of its functions otherwise than the manner in the law requires the Court of Tribunal to so discharge, the de be corrected in exercise of the supervisory jurisdiction veste High Court. Else, the position in law is trite, as enunciated Rubber v Dass Estate11, Garment Craft v. Prakash Chand Goel12 Puri Investment v. Young India13 that a writ court, under Arti

11 (2001) 8 SCC 97
12 2022 SCC OnLine SC 29
13 2022 SCC OnLine SC 283

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15:58:14

is not even empowered to correct errors in the orders passed courts below. The distinction is as explicit as it is nuanced.

20. Vishwabharathi House Building Coop. Society9 refers —Articles 226/227 of the Constitution of India . The opening s in para 53 of the report in the said case holds that adequate against orders passed by the learned NCDRC, are available to a aggrieved party by way of writ to a High Court under Article 2 or to the Supreme Court of India under Article 32 of the India way of an appeal under Section 23 of the 1986 Act. It does not however, provide any further guidance as to the circumstances which these remedies would, individually, be available against decision of the learned NCDRC. Even so, the view canvassed by Piyush Singh, if accepted, would amount to holding that, where appellate remedy under Section 23 of the 1986 Act is available

remedy under Article 227 of the Constitution of India stands irrevocably foreclosed, which would militate against the tenor view expressed in Vishwabharathi House Building Coop. Society9

21. The issue, however, stands largely answered, in pri the judgment of the Supreme Court in Virudhunagar Hindu Nadargal Dharma Paribalana Sabai v. Tuticorin Educational Society14 (–Virudhunagar , hereinafter), though the said decis not examine the issue in the backdrop of the 1986 Act. In that the Supreme Court was concerned with the aspect of availabilit remedy to the High Court, seeking exercise of its supervisory

14 (2019) 9 SCC 538

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15:58:14

jurisdiction over the courts below, where a remedy of appeal the decision of courts below was available under the CPC. Para 13 of the report read thus:

> –11. Secondly, the High Court ought to have seen that a remedy of appeal under section 104 (1)(i) read with XLIII, Rule 1 (r) of the Code of Civil Procedure, 190 directly available, the respondents 1 and 2 ought to taken recourse to the same. It is true that the avail remedy of appeal may not always be a bar for the exer supervisory jurisdiction of the High Court. In A. Venkatasubbiah Naidu v. S. Chellappan & Ors15, this C held that "though no hurdle can be put against the ex the Constitutional powers of the High Court, it is a recognized principle which gained judicial recognitio the High Court should direct the party to avail himse remedies before he resorts to a Constitutional remedy
>
> 12. But courts should always bear in mind a disti between (i) cases where such alternative remedy is av before Civil Courts in terms of the provisions of Cod procedure and (ii) cases where such alternative remed available under special enactments and/or statutory r the fora provided therein happen to be quasi judicial authorities and tribunals. In respect of cases fallin first category, which may involve suits and other pro before civil courts, the availability of an appellate terms of the provisions of CPC, may have to be constr near total bar. Otherwise, there is a danger that som challenge in a revision under Article 227, even a dec passed in a suit, on the same grounds on which the respondents 1 and 2 invoked the jurisdiction of the H

court. This is why, a 3 member Bench of this court, w
overruling the decision in Surya Dev Rai vs. Ram Chan
Rai16, pointed out in Radhey Shyam Vs. Chhabi Nath17
—orders of civil court stand on different footing fro
orders of authorities or Tribunals or courts other th
judicial/civil courts .

15 (2000) 7 SCC 695
16 (2003) 6 SCC 675
17 (2015) 5 SCC 423

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15:58:14

13. Therefore wherever the proceedings are under the
code of Civil Procedure and the forum is the Civil Court
availability of a remedy under the CPC, will deter the H
Court, not merely as a measure of self imposed restricti
but as a matter of discipline and prudence, from exercis
power of superintendence under the Constitution. Hence,
High Court ought not to have entertained the revision un
Article 227 especially in a case where a specific remedy
appeal is provided under the Code of Civil Procedure its
(Emphasis suppl

22. The afore-extracted passages from Virudhunagar14 disting
between the situation where the order under challenge is passe
civil court and a remedy of appeal lies to another civil court
a situation in which the order under challenge is not passed b
court, but by a quasi-judicial authority or tribunal, or where
remedy of appeal does not lie to a civil court. In the former
where it is a CPC-to-CPC appeal, the Supreme Court held that t
remedy of appeal would operate as a —near total bar to the av
of supervisory jurisdiction under Article 227 of the Constitut
India. Where, however, the order under challenge is not passed
civil court, no appeal against the said order is available und
or the appeal that is available is not to another civil court,
under Article 227 does not appear to be foreclosed.

23. In this context, the extracted words from the earlier de
the Supreme Court in A. Venkatasubbiah Naidu15 are of some
significance. In the said decision, the Supreme Court has held
while there cannot be any hurdle to the exercise of constituti
powers of the High Courts, where other alternate remedies are
available, the High Court should direct the party to avail suc

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15:58:14

remedies –before he resorts to a constitutional remedy . Venkatasubbiah Naidu15, therefore, expressed the view that, be seeking recourse to the constitutional remedy of writ before t Court, other alternative remedies available to the litigant ou directed to be exhausted.

24. This option is, obviously, not available where the other remedy is to the Supreme Court, as in the case of Section 23 o 1986 Act. The principle in A. Venkatasubbiah Naidu15, which ha been followed in Virudhunagar14 has no application, therefore, case where the remedy of appeal is to the Supreme Court, as un Section 23 of the 1986 Act, as there can be no question of the availing such remedy before resorting to a writ remedy availab the Constitution to the High Court. A party cannot be directed exhaust the alternate remedy available before the Supreme Cour before approaching the High Courts under Article 226. There ca no appeal from Caesar to Mark Antony.

25. Relegating the party to the remedy of appeal under Secti of the 1986 Act would, therefore, operate to foreclose, once a all, the right to seek recourse to writ jurisdiction of the Hi under Articles 226/227 of the Constitution of India. This, in considered opinion, can never be the intent of the Supreme Cou Virudhunaga14 and would also militate against the opening sent in para 53 of the Vishwabharathi House Building Coop. Society9

26. For all these reasons, I am of the opinion that the righ petitioners, to approach this Court under Article 227 of the

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15:58:14

Constitution of India cannot be affected by the remedy of app Supreme Court available under Section 23 of the Consumer Prote Act.

27. Having said that, it is also clear that any party which invoke the jurisdiction of the High Court under Article 227 su itself to the rigours of the provision and to the restrictions The High Court, under Article 227, cannot examine the matter w the same latitude as would be available to a Court which exerc appellate jurisdiction.

28. The contention of Mr Piyush Singh that Article 227 of t Constitution of India ought not to be invoked by the petitione remedy of appeal, against the impugned order of the learned NC lay to the Supreme Court under Section 23 of the 1986 Act, is fallacious on another count as well, which somewhat pre-empts discussion that is to follow hereinafter. Section 23 provides appeal against a decision of the NCDRC in exercise of the powe conferred on it by Section 21(a)(i). Section 21 deals jurisdiction of the learned NCDRC. Sub-section (a)(i) of Secti vests jurisdiction in the learned NCDRC to entertain complaint the value of the goods or services and compensation, if any, e 1 crore. The respondents have valued their complaint in excess crore on the premise that the complaint is maintainable as a c action proceeding on behalf of all the allottees of units in t As I proceed to hold hereinafter, however, the pleadings in th Complaint do not make out a case for justified institution of Complaint as a class action proceeding for all the allottees i

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15:58:14

project, or even for the 51 complainants before the learned N Unless the number of consumers having "sameness of interest" i manifest from the pleadings in the Complaint, in the manner envisaged by law and as stipulated by the Supreme Court in Bri Enterprises Ltd. v. Anil Kumar Virmani18, it is not possible t that the cumulative value of the goods or services, or the compensation claimed, by all such consumers having sameness of interest, would exceed 1 crore. The very maintainability of Complaint before the learned NCDRC, under Section 21(a)(i) is, therefore, questionable. If Section 21(a)(i) is not applicable Section 23.

29. Where the justifiability of the invocation, by the the jurisdiction of the learned NCDRC under Section 21(a)(i) i in doubt, it is obviously not open to the respondents to cite availability of an alternate remedy to the petitioners under S as a ground to non-suit them under Article 227 of the Constitu India. A plea of alternate appellate remedy, predicated on err invocation of original jurisdiction of the Court or Tribunal b obviously has to fail.

30. Even on facts, therefore, the assertions in the Com the respondents do not make out a case of availability, to the petitioners, of an alternate remedy

31. The objection to maintainability, as advanced by Mr Singh, is, therefore, rejected.

18

2021 SCC OnLine SC 1283

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Re. Merits

32. An authoritative pronouncement, on the maintainabil
action complaints, under Section 35(1)(c)19 of the Consumer
Protection Act, 2019, which is in pari materia and in haec ver
Section 12(1)(c)2 of the 1986 Act, is available in the judgmen
Supreme Court in Brigade Enterprises18.

33. 91 purchasers of 51 apartments in a residential com
in that case, permitted, by the learned NCDRC to file a class
consumer complaint in a representative capacity under Section
35(1)(c) of the 2019 Act, on behalf of and for the benefit of
1000 purchasers. Aggrieved by the said decision, Brigade Enter
the builder, appealed to the Supreme Court.

34. The residential complex in question comprised of ov
apartments. The 91 complainants before the learned NCDRC had
purchased 51 apartments. They contende
prosecute the complaint not only for themselves but also on be
numerous other consumers who had purchased apartments in the s
complex, as a class action, and that the learned NCDRC was
empowered to grant permission to them to do so, as could be gr

19

35. Manner in which complaint shall be made. -
(1) A complaint in relation to any goods sold
any service provided or agreed to be provided may b

*****

(c) one or more consumers, where t
interest, with the permission of the Dist
consumers so interested;

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15:58:14

by a civil court under Order I Rule 8 of the CPC.
NCDRC allowed the application relying on the earlier decision
Supreme Court in Chairman, Tamilnadu Housing Board v.
T.N.Ganapathy20 and of the Full Bench of the learned NCDRC its
in Ambrish Kumar Shukla v. Ferrous Infrastructure Pvt. Ltd.21.
may note here, that Mr. Piyush Singh also placed extensive rel

Ambrish Kumar Shukla21.

35. Paras 7 to 25 of the report in Brigade Enterprises18 —7. Before we get into an analysis of the rival c with specific reference to the statutory provisions, necessary to look into the reliefs prayed for, by th respondents in their consumer complaint and the plea the basis of which the reliefs were so sought. The r sought by the respondents in their consumer complain the benefit of and on behalf of the purchasers of al the entire residential complex reads as follows:--

> "That in view of the abovementioned facts an circumstances this Hon'ble Commission may graciously be pleased to pass orders and to OP to:--
>
> i. Direct the OP to pay to each of the Complainants and to each buyer having same i delay compensation, as stipulated in the Sal Construction Agreements, for unpaid period o "Total Period of Delay" as indicated in Para Consumer Complaint;
>
> ii. Direct the OP to pay to each of the Complainants and to each buyer having same i compensatory interest @ 12% p.a. on individu consideration amount paid, for abnormal and inordinate delay in construction, till handi possession of flats to the complainants, com

20 1990 (1) SCC 608

21 2016 SCC OnLine NCDRC 1117

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15:58:14

> period of delay as indicated in Para 46 of the Consumer Complaint;
>
> iii. Award cost of the Complaint t Complainants; and/or
>
> iv. Pass any other and/or further relief, which Hon'ble Commission thinks fit and proper, in the f and circumstances of the case, in favour of the complainants and against the OP."

8. The pleadings on the basis of which the responden sought the aforesaid prayers, in brief, are as follows : the appellant launched the subject project in the year 2013; (ii) that the project styled as –Brigade Lakefront to comprise of about 1100 units in three blocks, namely, Amber block, Blue block and Crimson block; (iii) that Amb block, also called Building No. 1, was to have seven wing namely, Wings A, B, C, D, E, F and G; Blue block, also called Building No. 2 was to have Wings H, I, J, K, L, M N and Crimson block, also called Building Nos. 3 and 4 we to have Wings O, P, Q, R, S and T; (iv) that in respect o flats in Blue block, the promised delivery date was 30.06.2016 with a six months grace period; (v) that thoug completion certificate and structural stability certifica also issued by the Consultant/Architect for the buildings Blue block on 3.05.2017, the occupancy certificate was is partially on 28.12.2018 and the occupancy certificate for balance was issued on 25.06.2019; (vi) that in respect of buildings in Crimson block, the promised delivery date wa 31.01.2018 with a grace period of six months; (vii) that though the completion certificate for the Crimson block w issued by the architect on 10.08.2018, the occupancy certificate was issued partially on 28.12.2018; (viii) th builder was guilty of unfair trade practice, inasmuch as terms and conditions of the agreement prescribed a paltry compensation of Rs. 5 per square feet to the purchasers, there was delay in completion of the project, while penal interest was levied on the buyers at 18% p.a. whenever th committed default or delay in making payment; (ix) that o account of the delay on the part of the appellant in hand over possession, the buyers suffered losses in the form o payment of monthly rent, interest on the loans taken and payment of higher registration charges, as the circle rat

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Signing Date:02.05.2022
15:58:14

gone up in the meantime; and (x) that therefore they wer constrained to file a complaint.

9. From the aforesaid averments contained in the consumer complaint, it could be seen that the delay on th part of the builder in handing over possession, was the primary ground on which compensation was sought by the respondents. We have already extracted the prayers made i the original complaint. Interestingly the prayer portion complaint does not contain the quantification of the tota amount of compensation sought by the respondents either individually or collectively for and on behalf of all the purchasers of all the 1134 residential apartments. The pr portion of the complaint refers to paragraph 46 of the

complaint, for the purpose of computation of delay compensation. But paragraph 46 of the complaint does not convey any meaning except if taken into account along wit paragraph 45. Therefore, paragraphs 45 and 46 of the complaint are extracted as follows:

> "45. Computation of "Total Period of Delay"--The Complainants assert that the Total Period of Delay calculated as follows : Delay Period Start - Promis Date of Possession, not considering the grace perio and Delay Period End - Either of the following two dates based on facts of individual complainants:
>
> a. Where possession was taken prior to issuance Occupancy Certificate, the Date of Occupancy Certificate; OR
>
> b. Where possession was taken after the issuance of Occupancy Certificate, then Date of possession Offered;
>
> It would be relevant to state that the meaning and nature of „possession as stated by the complainant this para would mean legal possession only where sa possession had been given or offered to be given up confirmation of readiness of the flat for possessio adherence to Schedule of Construction Agreement.
>
> 46. It is clearly and unambiguously inferred that Buyers shall receive possession by executing the Sa

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Signing Date:02.05.2022
15:58:14

> Deed and getting the same registered. Both actual possession and sale deed registration have to be d in unison in accordance with clauses of the agreem for construction. Hence, possession without regist and executing sale deed or vice versa does not tog construe to be "possession" for the purpose of calculating the delay suffered by the buyers. If b events are done on separate times, the later date two would prevail. It is respectfully submitted th the given residential project, the date of grant o Occupancy Certificate shall be reckoned as the piv event to ascertain delayed possession and calculat compensation based thereon."

10. Paragraphs 45 and 46 contain a tacit admission tha period of delay in handing over possession of the flats, vary from buyer to buyer in respect of the purchasers of

the 1134 apartments. This is why the respondents have sou
the indulgence of the Commission to compute the delay in
respect of each case, on the basis of formulae indicated
paragraph 45.

11. However, paragraph 41 of the consumer complaint
contains the valuation of the complaint, at least insofar
91 complainants who jointly filed the consumer complaint
concerned. The relevant portion of paragraph 41 of the
complaint reads as follows:

> "It is submitted that as per the Agreement terms
> reproduced above, OPs are committed to pay meager
> delay compensation of Rs. 5/- per sq. ft. of salea
> area, per month, which comes to around 0.1% per
> annum of the sale consideration, or even lesser. O
> contrary, the penalty charged by the OPs in case t
> buyers' default or delay in paying the instalment
> 18% per annum. It is clear that the balance of
> performance is over 180 times against the buyers w
> have been bearing the brunt of the absolute
> mismanagement of project by the OPs. The buyer is
> only patiently waiting for the possession but also
> double whammy to keep paying all the instalments
> without enjoying the property. Of the total number
> complainants those who have preferred to approach
> this Hon'ble Forum in this instant Complaint, the

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15:58:14

> aggregate value of sale for 51 complainant-buyers
> alone, is about Rs. 66 Crore whereas the aggregate
> amount disbursed by the OP so the same buyers, in t
> name of Delay Compensation is a meager, less than
> Rs. 10 lakh which is just about 0.1% for the entire
> delay of more than 2 years."

12. Before we proceed further we must record one
important fact, namely, that even according to the
respondents-complainants, the project comprised of three
blocks namely Amber block, Blue block and Crimson block.
Amber block was to have seven Wings with 386 apartments.
It appears that none of the owners of these 386 apartment
Amber block have joined with the respondents-complainants
This is why the entire discussion about the delay in
completion of the project, with reference to the timeline
events found in paragraph 14 of the consumer complaint,
refers only to Blue block and Crimson block. The appellan
has given a tabulation in their counter to the original
complaint, pointing out that Blue block comprises of 412

apartments, out of which the owners of only 47 apartments have joined in the filing of the complaint and that Crims block has 336 apartments, out of which the owners of only apartments have joined in the complaint.

13. In view of the fact that none of the owners of th apartments in Amber block have joined in the filing of th complaint, coupled with the fact that there is no pleadin respect to the timeline of the project in respect of Ambe block, the consumer complaint filed by the respondents cannot be treated as one representing the owners of 386 apartments in Amber block. The respondents ought to have either included as one of the complainants, the owner of of the apartments in Amber block or at least made necessa averments in the pleading about the timeline for completi the Amber block, to make the complaint, as one filed in a representative capacity on behalf of the owners of flats the three blocks. Let us now see at least whether the complaint was maintainable in a representative capacity o behalf of the owners of the flats in Blue block and Crims block, in the light of the requirements of Section 35(1)(the Act.

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15:58:14

14. Section 35(1)(c) enables one or more consumers, where there are numerous consumers having the same interest, with the permission of the District Commission, file a complaint, on behalf of or for the benefit of all consumers so interested. It is needless to point out that sine qua non for invoking Section 35(1)(c) is that all consumers on whose behalf or for whose benefit the provis is invoked, should have the same interest. Interestingly, Section 35(1) (c) uses the disjunction –or in between tw of words, namely, (i) –on behalf of ; and (ii) –for the b of . Clause (c) of Sub-Section (1) of Section 35 reads as under:

> "one or more consumers, where there are numerous consumers having the same interest, with the permission of the District Commission, on behalf of for the benefit of, all consumers so interested."

15. Therefore, a complaint filed under Section 35(1)(c) could either be –on behalf of or –for the benefit of al consumers having the same interest.

16. Section 38(11) of the Consumer Protection Act, 201

makes the provisions of Order I Rule 8 of the First Sched to the Civil Procedure Code, 1908 applicable to cases whe the complainant is a consumer referred to in Section 2(5) which defines a complainant' to mean one or more consumers, where there are numerous consumers having the same interest.

17. Order I Rule 8, CPC, unlike Section 35(1)(c) opera both ways and contains provisions for a two-way traffic. only permits plaintiffs to sue in a representative capaci also permits people to be sued and to be defended in an action, in a representative capacity. Order I Rule 8 read follows:--

"8. One person may sue or defend on behalf of all in same interest.--(1) Where there are numerous persons having the same interest in one suit,--

(a) one or more of such persons may, with the permission of the Court, sue or be sued, or may def

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15:58:14

such suit, on behalf of, or for the benefit of, a so interested;

(b) the Court may direct that one or more of su persons may sue or be sued, or may defend such sui on behalf of, or for the benefit of, all persons s interested.

(2) The Court shall, in every case where a permission or direction is given under sub-rule (1 the plaintiff's expense, give notice of the instit the suit to all persons so interested, either by p service, or, where, by reason of the number of per or any other cause, such service is not reasonably practicable, by public advertisement, as the Court each case may direct.

(3) Any person on whose behalf, or for whose benefit, a suit is instituted, or defended, under (1), may apply to the Court to be made a party to suit.

(4) No part of the claim in any such suit shall abandoned under sub-rule (1), and no such suit sha be withdrawn under sub-rule (3), of rule 1 of Orde XXIII, and no agreement, compromise or satisfactio shall be recorded in any such suit under rule 3 of

Order, unless the Court has given, at the plaintif
expense, notice to all persons so interested in th
manner specified in sub-rule (2).

(5) Where any person suing or defending in any
such suit does not proceed with due diligence in t
suit or defence, the Court may substitute in his p
any other person having the same interest in the s

(6) A decree passed in a suit under this rule sh
be binding on all persons on whose behalf, or for
whose benefit, the suit is instituted, or defended
case may be."

18. In simple terms, the salient features of the stipu
contained in Order I Rule 8 CPC can be summed up as
follows:

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15:58:14

(i) where there are numerous persons having th
same interest in one suit, one or more of such pers
may, with the permission of the Court, sue on behal
or for the benefit of all persons so interested;

(ii) where there are numerous persons having the
same interest in one suit, one or more of such pers
may be sued or one or more such persons may defend
such suit, on behalf of or for the benefit of all p
so interested;

(iii) the Court itself may, without the plaintiffs
defendants seeking any permission under Order I Rul
8(1)(a), direct that one or more such persons may s
or be sued or may defend the suit on behalf of and
the benefit of all persons interested;

(iv) notice of the institution of the suit to all p
so interested either by personal service or by publ
advertisement should be ordered by the Court in bot
categories of cases, namely, where permission is gi
by the Court on the application of the individuals
direction is issued by the Court itself;

(v) any person on whose behalf or for whose bene
the suit is instituted or defended may seek to be m
party to the suit;

(vi) abandonment of the whole or part of the claim,
withdrawal of the suit or the recording of any

agreement, compromise or satisfaction shall not be allowed by the Court unless notice to all persons interested in the matter is issued either by person service or by public advertisement.

(vii) the Court may at any time substitute the pers suing or defending in a representative capacity, wi any other person, if the former was not prosecuting suit or defence with due diligence.

(viii) the decree passed in the suit covered by thi Rule will be binding on all persons.

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15:58:14

19. The Explanation under Order I Rule 8 is of significance. It distinguishes persons having the same in in one suit from persons having the same cause of action. establish sameness of interest, it is not necessary to es sameness of the cause of action.

20. The Explanation under Order I Rule 8, is a necessary concomitant of the provisions of the Rules 1 an 3 of Order I. Order I Rule 1, CPC, allows many persons to join in one suit as plaintiffs. Order I, Rule 3 allows ma persons to be joined in one suit as defendants. But to fa under Order I Rule 1 or Order I Rule 3, the right to reli should arise out of or be in respect of the same act or transaction allegedly existing in such persons, jointly, severally or in the alternative. To some extent, Rules 1 3 of Order I are founded upon the sameness of the cause of action. This is why the Explanation under Order I Rule 8 distinguishes sameness of interest from the sameness of the cause of action.

21. Since –sameness of interest is the pre-requisite application under Order I Rule 8, CPC read with Section 35(1)(c) of the Consumer Protection Act, 2019, it was necessary for the respondents to include in the consumer complaint, sufficient averments that would show sameness interest. As we have pointed out earlier the total number residential apartments constructed in three blocks compri of about 20 wings (7 wings each in Amber and Blue blocks and 6 wings in Crimson block) were 1134. There are no pleadings insofar as the purchasers of 386 residential apartments in the 7 wings of Amber block are concerned. Even in respect of the owners of the remaining 748 reside apartments in blue block and Crimson block, the complaint does not contain any specific averments regarding samenes of interest. The delay in handing over possession of the

residential apartments might have given rise to a cause o
action for the individual purchasers of flats to sue the
But sameness of the cause of action is not equal to samen
of interest. The existence of sameness of interest, has b
questioned by the appellant-builder on the ground that de
compensation as stipulated in the Agreements was offered
the purchasers and that some of them accepted the same
without any demur or protest, while a few others have ref
to accept. It is not clear from the consumer complaint as

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Signing Date:02.05.2022
15:58:14

how (i) those who have accepted the compensation under
protest; (ii) those who accepted without protest; and (ii
who refused to accept the compensation, have the sameness
interest.

22. The period of delay in the completion of the projec
and the handing over of possession, does not appear to be
uniform in all 1134 cases. The respondents-complainants
cannot project sameness of interest for the purchasers in
whose case the period of delay was negligible and those i
whose cases there was a huge delay.

23. We may have to look at the issue also from the po
view of the buyers. The delay in handing over possession
need not necessarily be the only deficiency in service on
part of the appellant-builder. Some of the purchasers of
may also have other complaints and their right to proceed
against appellant cannot be stultified by a few individua
invoking Section 35(1)(c). That a few purchasers have cho
to approach the Karnataka State Consumer Disputes Redress
Commission to ventilate their individual grievances shows
that all the 1134 buyers do not have the same interest as
of the respondents. At least if the respondents have give
names of purchasers of all flats on whose behalf the pres
complaint could be entertained, they would have been bett
off. But they have not done so.

24. Reliance is placed by the learned senior counsel f
respondents, upon the Judgment of this Court in Chairman,
Tamil Nadu Housing Board, Madras v.
Ganapathy (supra), to drive home the point that the objec
Order I Rule 8 is to facilitate the decision of questions
which large number of persons are interested, without
recourse to the ordinary procedure and that, therefore, t
provision must receive an interpretation which will subse
the object of its enactment. This Court pointed out in th
case that though each of the allottees of plots by the Ho
Board may be interested individually in fighting out the

demand separately made or likely to be made by the Board, would not make Order I Rule 8 inapplicable.

25. But the above decision in Tamil Nadu Housing Board (supra) cannot be pressed into service by the respondents for two reasons, namely, (i) that what was

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Signing Date:02.05.2022
15:58:14

questioned in a representative suit in that case, additional demand sought to be made by the Housing on all the allottees uniformly, for an amount over the tentative price originally fixed; and (ii) that this Court restricted the applicability of the deci those allottees of the low income group. Therefore, sameness of interest has to be tested on the basis of the reliefs claimed and the pleadings that pinpo sameness of interest.

36. Thereafter, relying on its earlier decision in Rame Shrivastava v. Dwarkadhis Projects Pvt. Ltd.22, Anjum Hussain Intellicity Business Park Pvt. Ltd.23 and Vikrant Singh Malik Supertech Ltd.24, the Supreme Court emphasised the fact that a common complaint could be filed by complainants who had —sameness of interest , vis-a-vis the alleged deficiency in se the service provider.

37. The Supreme Court has, in this context, distinguish —sameness of interest and —sameness of cause of action . In t before it, the Supreme Court noted that, though there were a n of purchasers of residential units in the project under consid before it, who had grievances against the builder, their griev were distinct and different. The judgment is also an authority proposition that —sameness of interest should be manifest fro pleadings in the complaint filed before the Consumer Forum. In words, from the pleadings in the Complaint, the Consumer Forum should be in a position to hold that the persons whose cause t complainants before it were seeking to espouse had identical

22 (2019) 2 SCC 417

23 (2019) 6 SCC 519

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Signing Date:02.05.2022

15:58:14

grievances against the opposite party and that the deficiency of the opposite party vis-a-vis the said persons were, from th pleadings, manifestly the same. Else, a consolidated con complaint as a class action would not be maintainable under Se 35(1)(c) of the 2019 Act - and, therefore, under Section 12(1) the 1986 Act.

38. Mr. Piyush Singh has sought to submit that, in exam whether the complaint was maintainable as a class action petit Court was required to be guided by the prayers in the complain the prayers were identical, he submits that a class action com could be maintainable. He points out that, in the present case prayers in the complaint filed by his clients sought omnibus r complete the construction with all promised amenities and to h over vacant and peaceful possession of their respective flats occupancy and building completion certificate issued by the competent authority to the complainants as well as other allottees/purchasers/buyers within the stipulated time as may decided by the learned NCDRC, failing which the petitioners o to be directed to give alternate flats of similar standards an area to each of the complainants, failing which they be direct compensate the purchasers and to refund the amounts paid by th Inasmuch as these prayers applied to all the allottees of resi units in the project, Mr. Piyush Singh submits that the learne NCDRC could not be said to have erred in permitting the compla be filed as a class action proceeding under Section 12(1)(c) o

24
(2020) 9 SCC 145

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Signing Date:02.05.2022
15:58:14

1986 Act.

39. Ms. Agnihotri, learned Counsel for the petitioners submi contra, that the pleadings in the complaint itself indicate th no –sameness of interest for all the allottees in the project she submits that no such sameness of interest is apparent even 51 complainants before the learned NCDRC. She submits that, in in respect of flat allottees, the scheduled date for taking of of the flats had itself not been reached, so that there could question of the allottees being aggrieved by any delay in hand the flats or by any deficiencies in the flats themselves. With the other allottees, as such, submits Ms. Agnihotri, even on f grievances of the allottees of the individual units in the com client were distinct and different, and no class action procee Section 12(1)(c) could be permitted to have been instituted. T

learned NCDRC has, in passing the impugned order dated 16 th M 2018, she submits, proceeded merely on the basis of the prayer complaint without examining the aspect of maintainability of t action proceeding as filed by the respondents with the serious deserves.

40. Inasmuch as the number of allottees who have –sameness o interest is not forthcoming or apparent from the pleadings in complaint, Ms. Agnihotri submits that it cannot be said that t of the allottees having sameness of interest, when consolidate exceed 1 crore, so that the question of the jurisdiction of NCDRC to entertain the complaint would also be highly disputab

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Signing Date:02.05.2022
15:58:14

41. Having heard learned Counsel and perused the record and view of the law enunciated in Brigade Enterprises18, I am of t opinion that the submission of Ms. Agnihotri deserves to be ac and that of Mr. Piyush Singh, correspondingly, rejected.

42. Brigade Enterprises18 is clear and categorical in requir in order to maintain a class action proceeding under Section 3 of the 2019 Act - or, correspondingly, under Section 12(1)(c) 1986 Act - the pleadings in the complaint had necessarily to unequivocally indicate –sameness of interest of all the perso cause the complainants before the Consumer Forum were seeking espouse, vis-à-vis the opposite party.

43. In the present case, while there is an omnibus recital, of the complaint, that the facts relating to the allottees of are the same and that common issues disputes and controversies involved, with the allottees having common interest and having suffered identical deficiency of service, the pleadings that f thereafter belie this assertion. Para 16 of the complaint sets bulleted fashion, various alleged complaints relating to the a of units to the allottees in the project. The complaint doe however, identify these various perceived deficiencies in serv vis the allottees aggrieved thereby, by identifying the defici service by which the individual allottees were aggrieved. Nor any assertion, in the complaint, that each and all of the grie enumerated in para 16 of the complaint applied to every allott

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By:SUNIL SINGH NEGI

Signing Date:02.05.2022
15:58:14

units in the complex, whose cause the complainant chose to es
Even in respect of the 51 complainants before the learned NCDR
the complaint does not set out, with clarity, their individual
grievances, out of the several grievances enumerated in para 1
complaint. Rather, the use of the words –many complainants , –
complainants , and the like, which figure in para 16 of the Co
indicate, prima facie, that the grievances of all allottees we
identical, though, in the ultimate eventuate, their common aim
have been to secure allotment to them, by the petitioners, of
serviceable flats.

44. Such a common ultimate aim cannot, however, connote –sameness of interest within the meaning of Section 12(1)(c), Section 2(1)(b)(iv), of the 1986 Act. The law enunciated in Br Enterprises18 does not permit filing of a class action complai Section 12(1)(c) of the 1986 Act, in such a fashion. The matte merely one of the reliefs sought in the complaint. The 1986 Ac protection to consumers against deficiencies in service or per of unfair trade practices. The relief that follows is merely a The sameness of interest has to be with respect to the grievan complainants, and not with respect to the reliefs sought. Pare to brass tacks, hypothetically, if one allottee is aggrieved b leakage in the flat allotted to him, another by not allotment adequate parking space, a third by delayed allotment and a fou the flat not being of the category assured to him, they cannot a class action against the builder, by invoking Section 12(1)(on the ground that the ultimate relief sought by all of them i

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Signing Date:02.05.2022
15:58:14

of flats as originally contracted. Once, as in the present ca
para 16 of the Complaint), the complainants enumerated several
individual items of grievance, the Complaint would either have
assert that each grievance applied to each allottee whose caus
were seeking to espouse, or to identify the allottees, grievan
Else, the very requirement of –sameness of interest , in the c
class action proceeding under the Consumer Protection Act, wou
reduced to a redundancy, as, in every case, the consumers coul
an omnibus prayer that the units should be allotted to them in
condition and, on that basis, plead sameness of interest. This
view, militates against the law laid down in Brigade Enterpris
To reiterate what is required is that it must be apparent and
forthcoming, from the complaint, that the consumers whose caus
complaint seeks to espouse have sameness of interest, to the e
that the deficiencies in the service provided by the service p
qua each and all of the said complainants, is the same.
requirement, in my considered opinion, is wanting in the compl
filed by the respondents in the present case.

45. With greatest respect to the learned NCDRC, I am of the
opinion that paras 5 to 7 of the impugned order dated 16 th Ma
do not indicate that the learned NCDRC has approached the matt
maintainability of the complaint as a class action in the mann
envisaged by Brigade Enterprises18. In fact, a reading of para
indicates that the learned NCDRC appears to have proceeded on
basis of the omnibus prayer clause contained in the complaint.

46. The learned NCDRC has also noted that the complainants h

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Signing Date:02.05.2022
15:58:14

—same interest in the outcome of the complaint . Such an appr
my considered and respectful opinion, cannot be accepted, in v
the law laid down in Brigade Enterprises18. What is required i
sameness of interest in the outcome of the complaint, but same
interest with respect to the grievances of the complainants an
deficiencies in service that the complaints claimed to have su
the instance of the opposite party. It is only then, that the
Protection Forum could assess the correctness of the allegatio
deficiency of service on the part of the opposite party vis-a-
complainants. Unless the consumers who have sameness of intere
respect of their grievances vis-a-vis the opposite party were
immediately identifiable from the complaint, the complaint can
maintained as a class action covering the interest of all such
consumers.

47. I am, therefore, unable to subscribe to the view expre
learned NCDRC in paras 5 to 7 of the impugned order dated 16 t
2018.

48. In my view, the complaint, as filed, does not indicate
in respect of 51 complainants who were before the learned NCDR
there is —sameness of interest as could permit the complaint
maintained as a class action covering their grievances vis-a-v
petitioners. The pleadings in the compliant, are not suffic
enable the Court to assess the number of complainants who woul
have sameness of interest, in their grievances vis-a-vis the p
It cannot, therefore, be said that the consolidated claim of s

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Signing Date:02.05.2022
15:58:14

complainants who would have sameness of interest would be in
of 1 crore.

49. The impugned order cannot, therefore, sustain.

50. Per consequence, the complaint filed by the petitioners applying the law laid down in Brigade Enterprises18, and on th of the pleadings contained in the complaint, be maintained as action in respect of all the allottees of the Indiabulls Green Project or even in respect of the 51 complainants who approach learned NCDRC.

51. The complaint would, therefore, necessarily have to be dismissed, as, in the manner in which it is filed, it is not e that the complaint is maintainable before the learned NCDRC.

52. Having said that, however, this order would not preclude complainants from filing a proper complaint, keeping in mind t observations contained hereinabove, as a class action proceedi under Section 12(1)(c) or otherwise, before the appropriate fo which might even be the learned NCDRC. Any such complaint, if when filed, would be decided by the concerned forum in accorda with law and keeping in view the observations contained in the judgment.

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15:58:14

Conclusion

53. In view of the aforesaid, the petition is allowed. The i order of the learned NCDRC is quashed and set aside. The compl filed by the complainants before the learned NCDRC is also dismissed, reserving liberty as recorded in para 52 supra.

54. There shall be no orders as to costs.

C. HARI SHANKAR,

APRIL 27, 2022 r.bararia/kr/dsn